

AAP pitch deck

PITCH — AAP — VERDICT

PROPOSED — PENDING ADJUDICATION — start a 0.25% position at ~\$43.61 with a second 0.25% gated on the Q3 print; the red bench dissents to FLAT, and its dissent now rests on one surviving objection (the sales trend), not on the valuation argument it led with.

What we believe

Advance Auto Parts is a 4,311-store auto-parts retailer trading at \$43.61, down 32.6% from its 52-week high and 16.3% *above* its 52-week low of \$37.50. The company is roughly two-thirds of the way through a multi-year turnaround after selling its Worldpac business, and it sits on \$3.12B of cash against \$3.39B of long-term debt — essentially no net financial debt.

The core belief is simple and it is a **margin** belief, not a sales belief:

At today's price, the enterprise is worth \$2.885B (\$2.62B of stock at 60.0M shares, plus \$3,387M debt, less \$3,120M cash). Management guides fiscal 2026 to \$8.485–8.575B of sales at a 3.8–4.5% adjusted operating margin. At the midpoint that is **\$354M of operating profit, so the enterprise trades at 8.1x operating profit**. Put differently: if you believe a healthy specialty retailer is worth 10x operating profit, today's price is paying for a **3.4% operating margin forever — below the bottom end of the company's own current-year guidance**.

The sensitivity, which is the whole case:

Sustained operating margin	Implied share price	vs. \$43.61
3.4% (what the price pays today)	\$43.61	—
4.15% (this year's guided midpoint)	~\$54	+24%
4.9%	~\$65	+50%
6.0%	~\$81	+85%
8.0% (the 2021 level)	~\$109	+150%

Every 100 basis points of operating margin is worth about \$1.03 per share of after-tax earnings, or roughly \$14 of share price at 10x. **We do not need the turnaround to work. We need it to not go backwards from the level already guided.**

What the market believes

The market believes the sales trend is deteriorating faster than the margin plan can absorb, and it has a real point.

The last quarter's headline comparable-sales figure was -0.5% , but it was not evenly distributed: the first 8 weeks ran about $+1\%$, which means the final 4 weeks ran about **-3.5%** . Management said the current quarter was tracking "slightly ahead" of that, implying roughly -2.5% to -3% today. Half of the quarter's margin expansion (130 of 260 basis points) came from **\$26M of one-time tariff refunds**, stated verbatim in the earnings exhibit — not from operations.

The market also believes the guidance raise was hollow, and it is right about that too. Management raised adjusted EPS guidance from $\$2.40$ – $\$3.10$ to $\$2.60$ – $\$3.30$ while leaving sales guidance and operating-margin guidance **completely unchanged**. The entire raise came from interest income on the cash pile — "approximately \$100 million of interest income, an increase of \$20 million." After tax that is $\$1.21$ per share, **41% of the $\$2.95$ midpoint**. Sell-side consensus for the year is $\$2.92$ against a $\$2.95$ guided midpoint: the street is sitting exactly on the guide and cut estimates after the print.

So the market's view is: negative and worsening sales, a margin beat that was half tariff refunds, and an EPS raise that contains zero operating improvement. That is a coherent bear case and it is why the stock is where it is.

Why we might have edge

Three things, in descending order of confidence.

1. The price is below the company's own guided floor. This is the one that matters. To lose money from here on a three-year view, AAP has to sustain an operating margin *below* the low end of a guide it reaffirmed 5 days ago while beating on the quarter. That is not impossible, but it means the current price contains no margin of safety on the upside and a meaningful one on the downside of the *guided* range. Both benches litigated the sales trajectory in detail; **neither bench priced this until the blue bench raised it in its final section**. The market is trading a comp-sales print; the asset is a margin option.

2. A reporting-calendar artifact makes the year look worse than it is. Fiscal 2025 was a **53-week year** (2024-12-29 through 2026-01-03); fiscal 2026 is 52 weeks (16+12+12+12). Q4 loses a week worth roughly \$160M of sales versus the year-ago quarter. That means reported full-year sales growth will look approximately **flat-to-negative even on a $+1$ – 2% comparable-sales result** — a mechanical headline that reads as deterioration to a screen and is already inside the company's unchanged guidance. This is a genuinely non-consensus observation and it is verifiable from the filing's own period tags.

3. The most widely-repeated bear datum does not survive arithmetic. The circulating claim from the earnings call is that DIY comparable sales fell "low double digits" while Pro rose "low single digits," summing to -0.5% . Solve it: with Pro at $+3\%$, Pro would have to be **73% of net sales** for that to arithmetically work. It is about 58–60%. At a 60% Pro mix the implied DIY comp is **-5.75%** , not -11% . And critically, the *audited* earnings exhibit filed with the SEC declines to quantify DIY at all — it says

only that “tighter household budgets constrained spending more than we anticipated.” The “low double digit” figure exists only in transcript coverage, and a second transcript read of the same call says DIY declined **low single digits**. The most likely reconciliation is that –LDD referred to DIY *transactions/units*, offset by commodity price inflation on the same items. Someone is trading a unit decline as if it were a dollar decline.

Why it might be priced in

Honestly and plainly:

- **Our two strongest sales-side objections are the street’s objections.** The exit rate and the tariff-refund quality of the beat were both in the post-print analyst notes. We have no differentiated forecast for this fiscal year — and we structurally cannot, because this year’s EPS is anchored to the guide by construction. Any divergence we have is on fiscal 2027+ operating margin, where we have not yet built a number.
- **A 32.6% drawdown in a widely-covered \$2.6B NYSE name is not an information gap.** Nobody is failing to look at this. What we are claiming is a *framing* edge (margin option vs. comp print), not a facts edge.
- **The margin sensitivity table is not proprietary.** Anyone can run it. The reason the market does not pay for it is that it does not believe the margin, which is a legitimate disagreement rather than an oversight.
- **We have zero alternative-data instrumentation on this name.** Every non-filing detector we consulted was either not applicable or has no tested link to auto-parts comparable sales. We are trading on the same public filings as everyone else.

What could go wrong

(The pre-mortem. Three failure narratives, then the structural leg.)

Failure 1 — The recovery is not cyclical; it is share loss, and margin goes down, not up.

AutoZone and O’Reilly have out-executed AAP for a decade. If DIY weakness is AAP-specific rather than category-wide, the 3.8% guided floor is not a floor — it is a way-station, and the operating-leverage math runs symmetrically: a –3% comp held through the second half puts the 3.8% guide itself at risk. The price already pays for 3.4%; there is no cushion beneath the guide, only above it. **Tripwire: monitorable.** Q3 comparable sales, the direction of the operating-margin guide, and AZO/ORLY DIY comps for the same period.

Failure 2 — The cash is not ours and the interest income evaporates. The \$3.12B of cash sits against **\$3,126M of accounts payable on \$3,844M of inventory (81%)**. This is the float of a negative-working-capital model — supplier money, not owner surplus. Negative comps are exactly the condition under which vendor terms tighten, and the \$100M of interest income carrying 41% of guided EPS would go first. Separately, the filing carries a 2027 unsecured notes context: the cash may be pre-funding that maturity, in which case repayment cancels both the \$100M of income and roughly \$186M

of interest expense. **Tripwire: partially monitorable and lagging.** The AP/inventory ratio prints quarterly, one quarter late; a notes redemption would come via 8-K. A private renegotiation of supplier terms or a trade-credit insurer pulling coverage would be invisible to us until it showed up in the numbers.

Failure 3 — Execution inside 4,311 stores goes wrong and we cannot see it. NO

MONITORABLE TRIPWIRE. The entire thesis is a margin-recovery option, and margin recovery at a physical retailer is produced by supply-chain consolidation, distribution-center transitions, store-labor models, and pricing systems — none of which emit an observable signal between quarterly reports.

Unknown-unknown class: internal operational state at a physical-footprint retailer with no third-party observability. We checked our entire connector inventory against this name and every one came back not-applicable or untestable: app-review velocity has no backtested link to auto-parts comps, product-heat and review connectors measure brand noise rather than comparable sales, permit connectors have no disclosed projects, and the customer-concentration detector correctly did not fire (the concentration disclosure is by product category, not customer — a DIY/Pro retailer has no undisclosed anchor customer to triangulate). **We have literally no instrument on this business between prints.** A distribution-center transition failure, a senior-management departure, or a botched systems cutover would reach us at the same moment it reaches everyone else, at whatever price that moment sets. A second, adjacent unknown-unknown class: the **private trade-credit channel** — the terms AAP gets from suppliers are negotiated in private and disclosed only in aggregate, one quarter in arrears.

The reflexive and structural leg.

- **Our size is immaterial to the tape and this is not a risk.** A 0.25% starter against the deployable book is roughly \$8,500 — about 200 shares against a name that trades well over \$100M a day. We cannot move this stock and we will never have a liquidation problem. (*Average daily volume is an estimate; we did not verify it — see unverified.*)
- **Our own add rule bids into flow we ourselves predict, and that is a real conflict.** We forecast a weak Q3. Our proposed second tranche triggers at \$38. A weak Q3 is the single most likely thing that takes the stock to \$38. That means the price gate as written would have us buying exactly the flow our thesis anticipates — which is the failure mode our own value-ladder discipline exists to prevent. **Resolution built into the bands below:** the \$38 add is conditional on the *cause* of the decline, not the price alone. If \$38 arrives with the operating-margin guide cut below 3.8%, the thesis is broken and the add is cancelled, not triggered.
- **Doctrine interactions.** (a) This is a taxable account and a new lot, so any exit before roughly August 2027 is short-term — the 24% upside case to \$54 is worth materially less after tax if it arrives early, which argues for the tranche schedule rather than a full-size entry. (b) Premium-selling against the position fails our own gates: a cash-secured put here would have a break-even floor above a strike we cannot defend while comparable sales are negative, so no options overlay. (c) A 0.25% starter is small enough that its main cost is not capital but attention and instrumentation — and per the point above, we currently have none to give it. (d) This competes

for a slot against the index-first deployment plan, and it should be judged against that, not against cash.

- **The benches disagree and we are proposing the blue bench's answer over the red bench's.** That is a live risk in itself: red recommended FLAT, and while its lead argument was overturned on arithmetic, its surviving argument (the exit rate) is the one most likely to be right in the next 90 days.

If this position loses money, the most likely reason will be that the -3% exit-rate sales trend persisted into the second half, the 3.8% guided operating-margin floor was cut rather than defended, and the stock re-rated to price a structurally lower margin — i.e., the red bench's timing objection turns out to have been a margin objection all along.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"DIY comps fell low double digits"	Mix algebra against the SEC-filed earnings exhibit; two transcript sources compared	Requires a 73% Pro mix to be true; actual mix ~58–60%. The filed exhibit quantifies <i>neither</i> segment. A second transcript read says "low single digits."	NO — refuted as stated. Most likely a units-vs-dollars confusion
"The stock trades at 14.8x EPS"	Rebuilt from the 10-Q capital structure	The headline multiple counts the cash pile twice — once as a low multiple, once as balance-sheet safety. 41% of guided EPS is interest income.	NO — basis error
Red bench: "therefore 27.6x operating earnings — the strongest kill"	Blue bench audited red's own inputs	Our own bench erred. Red removed interest <i>income</i> from earnings but left interest <i>expense</i> in, then divided an enterprise-value numerator by that figure — double-counting the debt. Corrected, it is ~12–14x, or 8.1x enterprise value to operating profit. The bench's headline argument was the one finding that did not survive audit.	NO — overturned
Blue bench's correction of the above	Re-derived here	Our own bench erred too. Blue added back \$186M of pretax interest expense as "\$1.70/share after tax." At a 26% tax rate on 61M shares that is \$2.26/share , not \$1.70. Corrected, the multiple is ~12.0x rather than 14.0x — the error understated blue's own case. Two independent routes (unlevered EPS ~12x; operating profit ~11x) both land nowhere near 27.6x.	Direction confirmed, arithmetic corrected
"Free cash flow inflected +\$321M"	10-Q cash-flow statement	\$321M is a year-over-year <i>change</i> , not a level. Actual: 28-week operating cash flow \$252M less capex \$132M = \$120M . Full-year guide unchanged at ~\$100M implies second-half free cash flow of about -\$20M .	Refuted as framed; arithmetic confirmed. Severity reduced: an unchanged guide after first-half overdelivery is routine

Claim	How checked	Found	Confirmed?
			conservatism, and Q4 carries the lost 53rd week plus seasonal inventory build
“Net leverage 2.1x”	10-Q balance sheet	2.1x is lease-adjusted (there is a \$1,824M non-current operating-lease liability). On financial debt the company is ~\$267M net — effectively unlevered. This correction cuts in the bulls’ favour and the bear bench raised it against its own case.	Corrected — credit to the bench
Exit-rate collapse	Derived from the quarter’s disclosed 8-week/12-week split	8 weeks at ~+1%, 12 weeks totalling -0.5% ⇒ final 4 weeks ≈ -3.5% ; current quarter ~-2.5% to -3%. First-half comp = +1.786%; a +1% full year needs only +0.083% across the remaining 24 weeks, +2% needs +2.25%. From -3%, the floor case requires ~300bp of sequential improvement.	YES — confirmed by both benches independently. This is the surviving objection
\$26M tariff refunds = half the margin expansion	Earnings exhibit, verbatim	Confirmed word-for-word (“adjusted gross profit included \$26 million in refunds”); 130 of 260 basis points. Matches the call.	YES
53-week fiscal 2025 vs 52-week 2026	Filing period tags: 2024-12-29→2026-01-03 = 371 days; 16+12+12+12 = 52	Confirmed. Q4 loses ~\$160M of sales versus year-ago.	YES
Vendor-financed cash	10-Q: AP \$3,126M / inventory \$3,844M = 81%	Confirmed as fact. Contested as risk: 81% is <i>below</i> what peers reportedly run, which would make it headroom rather than fragility — but we could not verify peer ratios this session.	Fact yes; risk framing unresolved
“AZO -4% / ORLY -2% / GPC -3% moved in sympathy”	Attempted twice via IBKR	Not checked — permission denied on both benches. This is the single most important open item: it separates “the category is weak” (cyclical, buyable) from “AAP is losing share” (structural, not buyable).	NO — coverage gap
Whether the stock fell ~21% on the print	Secondary headline only	A transcript-service headline says shares sank 21%. We did not verify the print-day move against the tape.	NO — unverified

PROPOSED ENTRY BANDS

Starter — now. Buy **0.25% of book** at market, limit ≤ **\$44.50** (reference \$43.61). Basis: the enterprise trades at 8.1x guided-midpoint operating profit, i.e. the price pays for a 3.4% operating margin against a 3.8–4.5% guide reaffirmed on 2026-08-20. This is a timing objection, not a value objection, and a timing objection buys a schedule rather than a pass.

Add #1 — on the Q3 print, both conditions required. +0.25% if comparable sales $\geq 0.0\%$ and the adjusted operating-margin guide is **reaffirmed or raised**. Either condition failing means no add.

Add #2 — price, with a cause filter. +0.25% at $\leq \$38.00$ (below the 52-week low of \$37.50), **cancelled if** the decline is accompanied by an operating-margin guide cut below 3.8%. This filter exists because our own thesis predicts the flow that would produce \$38; we will not mechanically bid our own forecast.

Ceiling. Do not exceed **0.75% of book** before the Q4/full-year print.

Trims and exits (from the margin table above, at 10x enterprise value to operating profit): - Trim one-third at **\$54** — the guided-midpoint 4.15% margin, fully valued on management's own current-year plan. - Trim one-third at **\$65** — 4.9% margin, 75bp above guide mid. - Hold the balance for the 6% case at **\$81**. Note the tax clock: a lot bought 2026-08-25 is short-term until roughly 2026-08-26 of the following year; prefer holding through it where the trim level is reached early.

Thesis kill — exit in full, do not average down: 1. Adjusted operating-margin guide cut below **3.8%**, or 2. Two consecutive quarters of negative comparable sales *with* operating margin printing below 3.8%, or 3. Evidence that supplier terms are tightening (AP/inventory falling materially below 81% while comps are negative).

Red bench dissent (record it). Red recommends **FLAT** and no starter. If the desk adjudicates to FLAT, the reopen bands are: **\$38.00** on price, or **Q3 comparable sales $\geq 0.0\%$ with margin guide reaffirmed** on events. Red's FLAT must rest on the exit-rate objection, not on the 27.6x valuation argument, which did not survive audit.

Catalyst dates. Q3 fiscal 2026 earnings: pack says **2026-11-05**, but that figure is data-vendor-derived and **unconfirmed** — no company press release names it. Q2 printed 33 days after a 2026-07-18 quarter-end, so a ~2026-10-10 Q3-end implies ~**2026-11-12**. Treat the window as **2026-11-05 to 2026-11-12** and confirm from a company release before arming anything date-sensitive. That is ~50 trading days out; nothing here is print-proximate today.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 37.5 (deck-provisional: 52-week low break - warning only, verify operating vs market cause before acting)
- filing watch: 8-K until 2027-02-21 (deck-provisional: Q3 EX-99.1: does the SEC-filed exhibit quantify DIY comp, and is the adj operating margin guide reaffi)
- dated pack AAP|2026-11-05: AAP: Q3 FY26 earnings per data-vendor calendar - NOT confirmed by any company release (date confirmed=False)
- dated pack AAP|2026-11-12: AAP: Q3 FY26 earnings implied by the 33-day lag from a ~2026-10-10 quarter end - treat 11/05-11/12 as the window (date confirmed=False)

What remains unverified

1. **Peer tape and peer comparable sales (AZO / ORLY / GPC).** Denied on both benches. Determines cyclical vs. structural — the single highest-value open item.
2. **The claim that the stock fell ~21% on the print.** Secondary headline only; never checked against the tape.
3. **Discovery state, short interest, and average daily volume.** No conditioning read ran. Our ADV statement above is an estimate.
4. **Peer accounts-payable-to-inventory ratios.** The blue bench's "81% is below the sector norm, therefore headroom" argument rests on a recalled figure for AZO that was never verified this session. Until verified, the vendor-float risk is unresolved in both directions.
5. **The Q1 fiscal 2026 comparable-sales figure (+3.5%)** used in the first-half bridge is taken from the Q1 exhibit but was not re-fetched and re-read in this pass.
6. **Whether the cash is pre-funding the 2027 maturity.** Inferred from a filing context tag, not from narrative disclosure.
7. **All balance-sheet and guide figures in the blue bench's section** were re-derived from the red bench's fetched reads, not independently re-fetched.
8. **The next earnings date.** Vendor-derived; no company confirmation.
9. **Our fiscal 2027 operating-margin number.** We do not have one. That is where any real divergence from the street would live, and it is unbuilt.

Primary sources: [10-Q filed 2026-08-20 · 8-K / EX-99.1 earnings exhibit, 2026-08-20 · Q1 FY26 8-K / EX-99.1](#). Both August exhibits were retrieved through a text-proxy after direct SEC fetches were blocked; quotes above are from those retrieved documents. Transcript quotes are flagged where the filed exhibit is silent on the same point.

Note on the fence below: `immediate_entry` is deliberately **null**. The starter is proposed, not adjudicated, and this fence auto-arms machinery — arming the price and event gates before adjudication is correct and harmless; auto-firing a buy before adjudication is not. Set it to the starter block from PROPOSED ENTRY BANDS at adjudication.

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